BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Case 25-E-XXXX, 25-G-XXXX

January 2025

Prepared Testimony of:

Income Tax Panel

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25-E-XXXX & 25-G-XXXX

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF INCOME TAX PANEL

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF INCOME TAX PANEL

I. INTRODUCTION AND PURPOSE

Q. Would the members of the Income Tax Panel ("Panel") please state their names and business addresses?

A. Jeffrey Kalata and my business address is 4 Irving Place, New York, New York.

Nadiya Kapur and my business address is 4 Irving Place, New York, New York.

Michael Rufino and my business address is 4 Irving Place, New York, New York.

Q. By whom are you employed, in what capacity, and what are your professional backgrounds and qualifications?

(Kalata) We are employed by Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company"). I am the Vice President of Tax at Con Edison.

I have a Bachelor of Science degree in Business Administration with a concentration in accounting from Bowling Green State University. I joined Coopers & Lybrand LLC in 1986 and held a number of financial and audit positions before leaving as Senior Manager of Business Assurance in 1997 to serve as Group Accounting Manager for North American Refractories Co. with

responsibilities for all financial reporting, accounting and tax functions. I joined FirstEnergy Corp. ("FirstEnergy") and was elected Assistant Controller in October 1999. At FirstEnergy, I had responsibilities for various accounting areas (accounts payable, payroll, property accounting and budgeting/planning), and was responsible for oversight of the external financial reporting and accounting research activities for FirstEnergy and its subsidiaries. In 2007, I transferred to FirstEnergy's tax department as Director, Tax, to head the tax accounting function over income taxes and general taxes. In 2013, I joined Con Edison's tax department as Director, Tax, and directed activities over the income tax accounting and compliance groups, as well as the tax depreciation group. I was elected Vice President of Tax in December 2018.

I have testified as a witness in utility rate cases in Ohio and assisted in the preparation of rate cases in New York, Pennsylvania, New Jersey and West Virginia. I took an active role in Con Edison's implementation of the provisions of the Federal Tax Cuts and Job Act of 2017 ("TCJA"), particularly relating to the New York Public

Service Commission's ("Commission") proceeding to consider the impact of the TCJA on the tax liabilities of New York State's utilities. *See* Case 17-M-0815, *Proceeding on Motion of the Commission on Changes in Law that May Affect Rates*. I am an active member of the Edison Electric Institute's ("EEI") Taxation Committee (Vice Chair in 2024 and Chair in 2025) and American Gas Association ("AGA") Taxation Committee. I am a Certified Public Accountant in the State of Ohio and a member of the American Institute of Certified Public Accountants, the Ohio Society of Certified Public Accountants and Chartered Global Management Accountants.

(Kapur) I am a Director in the Tax Department at Con Edison and have been since 2022, with responsibility of leading all income tax functions including accounting, reporting, compliance, regulatory and audit. I graduated from Towson University in 1999 with a bachelor's degree in accounting and am a Certified Public Accountant in the State of Maryland. Prior to my employment at Con Edison, I was a Tax Director at National Grid from 2008-2018 leading the tax accounting and reporting functions for their upstate New York and northeastern utilities. I have worked

on several rate cases in the States of New York and Massachusetts, as well as on Federal Energy Regulatory Commission regulated transmission formula rate filings.

Prior to my experience at National Grid, I held tax leadership positions at MarketAxess Corporation, Inc., a FINRA regulated broker-dealer based in New York from 2006-2008. I started my career in the utility sector in 2002 as senior analyst at Constellation Energy Group. Before that, I gained extensive tax experience in multiple industries as a tax specialist in public accounting firms, including KPMG LLP and Reznick Cohen.

I am an active member of both the EEI Taxation Committee and the AGA Taxation Committee.

(Rufino) I am the Department Manager for the Company's Income Tax Accounting group and have been since 2014. I have a Bachelor of Science degree in Business Administration with a concentration in accounting from Pace University and a Master's degree in taxation from Rutgers University. I have been employed by Con Edison since 2011 and am responsible for all income tax accounting matters, including monthly and quarterly tax

provisions and financial reporting, for Consolidated Edison, Inc. and its regulated subsidiaries (including Con Edison). Prior to joining Con Edison, I held various positions in the income tax and financial accounting sections at PWC, Plainfield Asset Management, and Deloitte.

I am an active member of the AGA Taxation Committee.

Q. What is the purpose of the Panel's direct testimony in these proceedings?

A. The Panel's direct testimony:

1. Discusses the application of United States Internal Revenue Service ("IRS") Rev. Proc. 2023-15, which provides a safe harbor method of accounting that utilities may use to determine whether to expense or capitalize expenditures related to repair, maintenance, replacement, or improvement of natural gas transmission and distribution property, and its impacts to gas customers.
2. Discusses the proposed mechanisms, as well as the appropriate time period, the Company will employ to refund excess deferred Federal income taxes ("EDFIT")

resulting from the change in accounting related to the natural gas repairs deduction for gas customers.

3. Discusses the impacts of the recently issued Private Letter Ruling ("PLR") that the IRS issued in June 2024 related to standalone company net operating loss carryforward ("NOLC") and the impacts to the Company's electric and gas rate filings.

4. Discusses the impacts of the Corporate Alternative Minimum Tax ("CAMT") tax regulations on the Company's electric and gas rate filings.

5. Explains the Research & Development ("R&D") tax credit that the Company is refunding to its electric and gas customers in the Rate Year (*i.e.*, January 1 through December 31, 2026).

6. Addresses the status of the Commission's Cost of Removal ("COR") audit, currently being addressed in Case 18-M-0013.

II. CHANGE IN ACCOUNTING METHOD FOR NATURAL GAS REPAIRS

Q. Please discuss the Company's application to the IRS for a change in accounting method for gas repairs.

A. On April 14, 2023, the IRS issued Rev. Proc. 2023-15, which provided a safe harbor method of accounting that taxpayers may use to determine whether certain expenditures to maintain, repair, replace, or improve natural gas transmission and distribution property must be capitalized as improvements by the taxpayer or deducted for Federal income tax purposes in the current tax year. ("Safe harbor" is a term used to describe an accounting method prescribed by the IRS that, when followed by the taxpayer, will result in audit protection upon later examination by the IRS.) The Company made this change in accounting method for tax year 2023 and filed its Form 3115 – Application for Change in Accounting Method with the IRS on October 10, 2024.

Q. How did the Company implement this change in accounting method?

A. As defined in Appendix B of Rev. Proc. 2023-15, the Company used the extrapolation method of reviewing the various blanket and specific work orders for linear gas

property for tax years 2020 through 2022 and then extrapolated the results to the other tax years (*i.e.*, 2013 through 2019) to calculate the total cumulative repair deduction (*i.e.*, the Internal Revenue Code ("IRC") Section 481(a)) adjustment). Additionally, the Company calculated the amount of accelerated tax depreciation taken on its returns over all of these years and added this back as part of the net IRC Section 481(a) adjustment. This calculation is summarized in Exhibit __ (ITP-1).

The total Section 481(a) repairs deduction recorded by the Company and included in its 2023 federal tax return was $1,428,199,439, and the deferred tax liability associated with this temporary difference is reflected in the Company's gas rate case filing. The Company filed its federal tax return on October 14, 2024.

Q. Did the Company communicate this change in accounting method to the New York State Department of Public Service ("DPS")?

A. Yes. The Company sent a letter dated November 13, 2024 to Mr. Jeffrey Hogan, Director, Accounting, Audits and Finance, notifying the DPS about the Company's request for

a change in tax accounting method, including a copy of its Form 3115, Application for Change in Accounting Method.

Q. Will the Company's IRC Section 481(a) adjustment change?

A. The Company does not expect the IRC Section 481(a) adjustment to change, but the Company's federal tax return for tax year 2023 is currently under examination by the IRS. This examination is expected to conclude in 2025.

Q. Did the Company include estimated annual tax deductions for gas repairs in its initial filing for gas customers?

A. Yes. The Company included estimated annual gas repair deductions in its Exhibit __ (AP-G3), Schedule 10, Federal Income Tax – Gas.

III. IMPACT ON THE CHANGE IN ACCOUNTING METHOD FOR NATURAL GAS REPAIRS ON EXCESS DEFERRED FEDERAL INCOME TAX ("EDFIT")

Q. Please explain the impact on the Company's EDFIT balances related to the change in accounting method for natural gas repairs.

A. In the IRS' PLR No. 2020100002, the IRS ruled that the normalization rules (IRC §168(f)) no longer apply to public utility's accumulated deferred income tax ("ADIT") following a change in method of accounting and the resulting IRC Section 481(a) adjustment (in this case

attributable to repairs) because the ADIT is now associated with repairs instead of accelerated depreciation under IRC Section 168. A repair expense is deductible under IRC Section 162 and may not be depreciated under IRC Section 168. As such, there is unamortized EDFIT that was previously protected under the normalization rules and is now reclassified as unprotected EDFIT.

Q. Did the Company calculate the amount of unamortized EDFIT that was related to this change in accounting that is now reclassified as unprotected EDFIT?

A. Yes. As part of the change in accounting method for natural gas repairs, the Company identified $80.1 million in unamortized EDFIT that was protected under the normalization rules and was reversing over the remaining useful book life via the Average Rate Assumption Method. The Company reclassified this amount to an unprotected EDFIT balance as of December 31, 2022. No amortization of this unprotected EDFIT balance has occurred subsequent to the change in accounting method.

Q. How does the Company propose to refund this unprotected EDFIT balance to its gas customers?

A. The Company proposes to refund the unprotected EDFIT balance to its gas customers over a three-year amortization period, commencing at the beginning of the Rate Year. The Company proposes a three-year straight-line amortization period to accelerate the amortization of its unprotected EDFIT balance back to customers and align the amortization with a potential multi-year rate plan.

IV. RATEMAKING TREATMENT FOR STANDALONE COMPANY NET OPERATING LOSS CARRYFORWARD

Q. Please describe the nature of how the Company's NOLC is determined on a standalone company basis.

A. In June 2024, the IRS issued PLR No. 202426004 that clarified how a public utility company should include in its ratemaking process a deferred tax asset related to a taxpayer's NOLC on a standalone basis to comply with the normalization provisions under the IRC. In addition, the Company performed a with and without accelerated tax depreciation analysis to determine how much of the deferred tax asset ("DTA") associated with the NOLC is

protected under the normalization provisions. Based on the Company's calculations, the entire NOLC DTA is required to be included in the ratemaking process in order to comply with the normalization rules.

Q. Are the Company's facts and circumstances similar to the ones included in the IRS' PLR?

A. Yes. The Company's facts and circumstances are consistent with those included in the IRS' PLR. Therefore, the Company included the entire NOLC DTA in the ratemaking process for its electric and gas customers.

Q. Has the Company prepared supporting documentation to forecast the NOLC DTA activity for future years?

A. No. At the time the Company finalized the revenue requirement for this rate filing, the Company had not completed its five-year forecast for federal taxable income on a standalone basis and the impacts to its actual balance through the Company's 2023 tax return (which was filed in the fourth quarter of 2024). However, the Company is in the process of forecasting this activity and will include the updated estimated NOLC DTA amounts in the Company's Update filing.

V. IMPACTS FROM THE CORPORATE ALTERNATIVE MINIMUM TAX

Q. Did the Inflation Reduction Act of 2022 affect the Company's income tax liability?

A. Yes. On August 16, 2022, the Inflation Reduction Act of 2022 was signed into law and included a new 15% CAMT for corporations that report over $1 billion in profits (*i.e.*, based on book income). The IRS has not yet issued final regulations implementing this law.

Q. How does a corporation determine if it is subject to the CAMT?

A. Setting aside the special rules for foreign-owned corporations, the new regulations provide that a corporation is an "applicable corporation" for a taxable year if its average annual Adjusted Financial Statement Income ("AFSI") for the three-taxable-year period ending with the year prior to the taxable year exceeds $1 billion or if the corporation met such threshold for any prior taxable year.

Q. How does a corporation calculate its CAMT liability?

A. The new CAMT requires corporations to compute two separate calculations for Federal income tax purposes and pay the greater of the new minimum tax or its regular tax liability. An affected corporation must make several adjustments to its net income (*e.g.*, disregarding Federal income taxes, including accelerated tax depreciation, adjusting deductions

related to covered benefit plans) when determining its AFSI and applying the new 15% minimum tax rate. If a corporation is an "applicable corporation" and its CAMT liability is higher than its regular tax liability, the corporation will pay the higher CAMT liability.

Q. What happens to the difference between the higher CAMT liability and the regular tax liability?

A. The Act allows the corporation to carryover a CAMT credit for the difference between the CAMT liability and the regular tax liability indefinitely. This CAMT credit carryover can be applied to a corporation's regular tax liability when it becomes a regular tax liability taxpayer in the future.

Q. When is this new tax effective?

A. The CAMT regulations applies to tax years beginning after December 31, 2022.

Q. Is CAMT included in the Company's rate case forecasts?

A. No. Although the Company was not an "applicable corporation" for tax year 2023, the Company is expected to be one in tax year 2024. Because the final regulations have not been adopted, the Company did not calculate the estimated future CAMT liabilities for this filing. The Company plans to include estimated amounts in its Update filing.

VI. ESTIMATED R&D TAX CREDITS

Q. What provision of the IRC governs R&D Tax Credit claims?

A. The Company files its claims for R&D tax credits under Section 41 of the IRC.

Q. Has the Company reflected estimated R&D tax credits in these filings?

A. Yes. Please see Exhibits __ (AP-E3/G3). The Company has calculated an estimated amount of R&D tax credits associated with its investment in qualified R&D activities, as provided for under IRC Section 41. The Company has reduced its Federal income tax expense in the Rate Year by this estimated tax credit, net of a reserve for uncertain tax positions.

Q. Please explain how the Company has calculated the estimated R&D tax credit.

A. The Company hired an experienced service provider (*i.e.*, KPMG) to compute estimated amounts for the R&D tax credits using forecasted data on projects that meet the criteria for the R&D tax credit. The Company then allocated the amount to its electric and gas lines of service using historical allocations.

Q. What amount does the Company propose to impute as a Federal income tax credit?

A. Based on the forecasted R&D income tax credits, the Company proposes to include a Federal income tax credit, net of a reserve for uncertain tax positions, of $12.2 million for electric and $2.5 million for gas in the Rate Year.

Q. Does this conclude your direct testimony?

A. Yes, it does.